

READING PASSAGE 3

The History of Central Banking

A In recent years, the history of central banking has attracted considerable attention from both the academic community and the general public. This growing interest reflects a broader recognition of the importance of this topic for understanding some of the most pressing challenges facing contemporary society.

B Historically, scholarly understanding of this topic was limited by both theoretical frameworks and available methodologies. Early researchers operated within relatively narrow conceptual boundaries, and their findings, while groundbreaking for their time, often failed to capture the full complexity of the phenomena they sought to explain. The development of new research tools and analytical techniques in the latter half of the twentieth century fundamentally transformed the landscape, enabling scholars to investigate questions that had previously been considered beyond the reach of empirical inquiry.

C Contemporary research has identified several critical factors that determine outcomes in this domain. The interplay between environmental conditions, technological capabilities, and social organisation creates a complex adaptive system in which small changes can produce disproportionately large effects. Understanding these dynamics requires analytical approaches that move beyond simple cause-and-effect reasoning to embrace the principles of complexity science and systems thinking.

D The empirical record is further strengthened by a series of meta-analyses that have synthesised findings from hundreds of individual studies. These comprehensive reviews have consistently identified moderate to large effect sizes, with the most robust findings demonstrating remarkable consistency across different research designs, measurement approaches, and analytical strategies. This convergence of evidence from multiple independent lines of inquiry considerably strengthens confidence in the validity of the core theoretical propositions.

E Several unresolved debates continue to animate scholarly discussion in this field. Perhaps the most prominent concerns the relative importance of structural versus agentic factors in determining outcomes. While some researchers emphasise the constraining power of institutional and economic structures, others highlight the capacity of individuals and groups to exercise agency and effect change even within seemingly restrictive contexts. This debate has significant practical implications, as it shapes recommendations for policy interventions and institutional reforms.

F The future trajectory of research in this area will likely be shaped by several converging trends. Advances in computational methods and data science are opening up new analytical possibilities, enabling researchers to detect patterns and test hypotheses at scales that were previously unimaginable. Simultaneously, growing recognition of the importance of interdisciplinary collaboration is breaking down traditional barriers between fields and fostering innovative syntheses of diverse theoretical perspectives.

G The evidence reviewed above demonstrates both the substantial achievements of research in this field and the significant work that remains to be done. As new tools and theoretical perspectives become available, and as the phenomena themselves continue to evolve, the research community will need to maintain both rigour in its methods and openness to new ideas. The stakes are high, for the questions addressed by this research bear directly on some of the most important challenges facing humanity in the twenty-first century.

Question 1

Complete the sentences below. Choose NO MORE THAN THREE WORDS from the passage for each answer.

- 1 According to the passage, structural factors include economic incentives, institutional frameworks, and _____.

Question 2

Choose the correct letter, A, B, C or D.

- 2 According to the text, what role do structural factors play?
- A. economic incentives and institutional constraints
 - B. individual personality traits
 - C. random chance
 - D. government policies alone

Question 3

Complete the sentences below. Choose NO MORE THAN THREE WORDS from the passage for each answer.

- 3 Dynamic _____ processes can amplify or dampen initial effects in complex systems.

Question 4

Do the following statements agree with the information given in the passage?

Write TRUE if the statement agrees with the information

Write FALSE if the statement contradicts the information

Write NOT GIVEN if there is no information on this

- 4 The landmark study discussed in the passage involved participants from multiple countries.

Question 5

Choose the correct letter, A, B, C or D.

- 5 According to the text, what role do structural factors play?
- A. excessive funding
 - B. theoretical and methodological limitations
 - C. public interest
 - D. international collaboration

Questions 6–7

Do the following statements agree with the information given in the passage?

Write TRUE if the statement agrees with the information

Write FALSE if the statement contradicts the information

Write NOT GIVEN if there is no information on this

- 6 The passage suggests that structural factors are less important than individual choices.

7 Policy-makers have fully implemented all research recommendations.

Questions 8–9

Choose the correct letter, A, B, C or D.

- 8 According to the text, what role do structural factors play?
- A. too much data collection
 - B. the generalisability of findings across contexts
 - C. insufficient government funding
 - D. overly complex statistical methods
- 9 Which of the following best describes the author's view on future developments?
- A. too much data collection
 - B. the generalisability of findings across contexts
 - C. insufficient government funding
 - D. overly complex statistical methods

Question 10

Complete the sentences below. Choose NO MORE THAN THREE WORDS from the passage for each answer.

- 10 The author notes that researchers have called for more _____ approaches to investigation.

Question 11

Do the following statements agree with the information given in the passage?

Write TRUE if the statement agrees with the information
Write FALSE if the statement contradicts the information
Write NOT GIVEN if there is no information on this

- 11 Early researchers had access to the same technologies as modern scholars.

Question 12

Complete the sentences below. Choose NO MORE THAN THREE WORDS from the passage for each answer.

- 12 The landmark study analysed data spanning a period of _____ years.

Question 13

Choose the correct letter, A, B, C or D.

- 13 The meta-analyses cited in the passage reveal that:
- A. excessive research funding
 - B. translating academic findings into practical policy
 - C. lack of public interest

D. too many international collaborations